



landkeeper

MAKING TAX DIGITAL (MTD)

for Landlords

**Your complete guide to
Making Tax Digital for
Income Tax**

Everything UK landlords
need to know about digital
record keeping, quarterly
reporting and staying
compliant with HMRC.



crm.landkeeper.co.uk

2 WHAT IS MAKING TAX DIGITAL?

Making Tax Digital (MTD) is the UK Government's initiative to modernise the tax system.

Instead of sending one paper tax return each year, landlords will keep digital records of their income and expenses and send updates to HMRC online using compatible software.

WHY HAS HMRC INTRODUCED MTD?



Reduce common tax errors



Improve accuracy



Encourage digital record keeping



Provide more up-to-date tax information



Modernise the UK tax system



Reduce lost paperwork

THE SHIFT TO DIGITAL

BEFORE MTD



Annual Tax Return



AFTER MTD



Digital Records



Quarterly Updates



Final Declaration



DID YOU KNOW?

Around one in ten tax returns contains avoidable mistakes caused by manual record keeping.

3 WHO DOES MTD APPLY TO?

MTD for Income Tax is being introduced in phases based on your qualifying income from property and self-employment.

IMPLEMENTATION TIMELINE



(Check the latest HMRC guidance for any updates.)

MTD APPLIES TO

- ✓ Individual landlords
- ✓ Sole traders
- ✓ Landlords with multiple properties
- ✓ Individuals with combined qualifying business and property income above the threshold

DOES NOT CURRENTLY APPLY TO

- ✗ Companies paying Corporation Tax
- ✗ Some exempt individuals
- ✗ Those below the qualifying income threshold (for now)



CRM LANDKEEPER TIP

Even if you are not required to join MTD immediately, switching to digital record keeping now can help you build good habits before the new rules apply to you.

4 WHAT LANDLORDS MUST DO

Under MTD, landlords must complete several tasks throughout the year.

1



KEEP DIGITAL RECORDS

Record all rental income and allowable expenses and keep digital copies of receipts and invoices.

2



USE COMPATIBLE DIGITAL SOFTWARE

Your software must be able to communicate with HMRC.

3



SUBMIT QUARTERLY UPDATES

Send a summary of your income and expenses every three months.

4



END OF PERIOD STATEMENT (EOPS)

Confirm your annual business figures to HMRC.

5



FINAL DECLARATION

Submit a final declaration to finalise your tax position.



LANDKEEPER REMINDER

Rather than waiting until the end of the year, record income and expenses as they happen. Small updates throughout the year save significant time later.

5 QUARTERLY UPDATES EXPLAINED

Quarterly Updates are summaries of your income and expenses sent to HMRC every three months.

QUARTERLY UPDATES ARE NOT

- ✗ A tax payment
- ✗ A final tax calculation
- ✗ A replacement for keeping accurate records

QUARTERLY CYCLE (EXAMPLE)



(Deadlines may vary depending on your accounting period.)

INFORMATION INCLUDED

- ✓ Rental income
- ✓ Property expenses
- ✓ Business transactions
- ✓ Other relevant income information



CRM LANDKEEPER TIP

Keeping your rental income and expenses updated throughout the year means you'll already have much of the information organised when preparing your quarterly updates.

6 DIGITAL RECORD KEEPING

Digital record keeping is the foundation of Making Tax Digital. Instead of relying on spreadsheets, paper receipts or multiple folders, landlords should maintain organised digital records that can be easily updated throughout the year.

CRM Landkeeper provides a central place to manage property information, helping landlords stay organised and reduce administrative work.

EXAMPLES OF RECORDS TO KEEP



Rental income



Mortgage interest
(where relevant)



Repairs and
maintenance



Insurance



Service charges



Utility bills



Professional fees



Receipts and invoices



Bank transactions



Property-related
expenses



LANDKEEPER BEST PRACTICE

Spend just five minutes after receiving rent or paying an expense to update your records. Regular updates are far easier than catching up months later.

7 BENEFITS OF MTD

Although MTD introduces new responsibilities, it can also improve how landlords manage their finances.

KEY BENEFITS

- ✓ Better organisation
- ✓ Fewer manual errors
- ✓ More accurate records
- ✓ Reduced paperwork
- ✓ Improved budgeting
- ✓ Better visibility of rental performance
- ✓ More confidence during tax season

BEFORE vs AFTER

BEFORE

- ▶ Paper receipts
- ▶ Manual spreadsheets
- ▶ Year-end panic
- ▶ Harder to find documents



AFTER

- ▶ Digital records
- ▶ Automatic calculations
- ▶ Regular updates
- ▶ Everything stored securely



DID YOU KNOW?

Many landlords find that digital record keeping saves time once they establish a regular routine.

8 COMMON CHALLENGES (AND HOW TO AVOID THEM)

CHALLENGES



Forgetting to record expenses



Missing submission deadlines



Losing receipts



Choosing software



Incorrect expense categories

SOLUTIONS



Update records weekly.



Use calendar reminders or software notifications.



Photograph and upload receipts immediately.



Choose a landlord management platform that allows you to organise your records consistently throughout the year. CRM Landkeeper is designed to help landlords keep property information in one place, making ongoing record keeping simpler.



Review your records and use clear expense categories.



CRM LANDKEEPER TIP

Many landlords only update records when tax deadlines approach. Using CRM Landkeeper as part of your everyday property management routine helps keep information current all year round.

9 HOW CRM LANDKEEPER HELPS LANDLORDS PREPARE FOR MTD

MTD isn't just about submitting information to HMRC—it's about keeping accurate digital records all year.

CRM Landkeeper has been developed specifically for landlords, giving you one central platform to stay organised.



10 GET READY FOR MTD WITH CRM LANDKEEPER

Preparing for Making Tax Digital starts with keeping accurate, organised digital records.

CRM Landkeeper helps you stay organised, save time and prepare for the future of digital tax reporting.

YOUR PREPARATION CHECKLIST

- ✓ Understand when MTD applies to you
- ✓ Keep digital property records
- ✓ Record income and expenses regularly
- ✓ Store receipts and documents digitally
- ✓ Stay aware of reporting deadlines
- ✓ Use CRM Landkeeper to stay organised



START PREPARING TODAY

The sooner you establish good digital record-keeping habits, the easier your transition to MTD will be.

Visit crm.landkeeper.co.uk

to learn more and discover how CRM Landkeeper can help you manage your properties, stay organised and be ready for Making Tax Digital.



↑ Scan me!